WAVERLEY GATEWAY GUIDE

Connecting International Capital

LUXEMBOURG

Europe

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office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Luxembourg City – Kirchberg	Financial and EU district, home to banks, fund managers, the European Investment Bank and the EU Court of Justice	Banking, asset management, insurance, legal and EU-related services
Luxembourg City – Cloche d'Or and city centre	Growing business district for financial, professional and technology firms close to the government quarter	Professional services, fintech, corporate headquarters
Esch-sur-Alzette – Belval	Former steel site redeveloped as home to the University of Luxembourg and public research institutes	Research and innovation, health technology, materials, start-ups
Findel airport and Bettembourg logistics hub	Major European air-cargo base and multimodal rail-road terminal linking Luxembourg with European corridors	Air freight, logistics, distribution
Betzdorf and the space cluster	Base of the satellite operator SES and a national space-resources and satellite ecosystem	Satellite communications, space technology, data
National and regional business parks	State-planned activity zones offering sites for manufacturing, data centres and logistics	Advanced manufacturing, data centres, automotive components

INVESTOR ENTRY ROUTES

- Ministry of the Economy and Luxinnovation, the national innovation agency, provide investor support, R&D grants and access to state-planned business parks
- Corporate income tax of 16% in 2026 (an aggregate rate of 23.87% in Luxembourg City), which the draft 2027 budget would cut to 15% and 22.8%
- Investment tax credits for digital and ecological or energy-transition investment, which the 2027 budget proposes to raise to 21% and 9%
- CSSF authorisation for funds, management companies, banks and payment firms, with EU passporting from Europe's largest investment-fund centre
- Euro-area membership: the euro is the national currency, with free movement of capital under EU rules
- EU single-market and Schengen membership, with a highly international, multilingual workforce drawn from neighbouring countries
- Luxembourg's space-resources law and national space agency, offering a legal framework for commercial space activity

MARKET-ENTRY OBSERVATION

Luxembourg in November 2026 remains one of Europe's most stable and wealthy investment locations, combining strong public finances, euro-area and EU membership and the continent's largest investment-fund industry. Net assets of Luxembourg funds reached €6.44 trillion at the end of April 2026, up 14.6% in a year. Public debt is projected at 29.3% of GDP at the end of 2026, among the lowest in the euro area, and the government plans record public investment of €4.5 billion, 4.4% of GDP, in 2027. The draft 2027 budget presented by Finance Minister Gilles Roth on 7 October 2026 would cut corporate income tax again, to 15%, abolish the time limit on carrying forward losses and raise investment tax credits. Inflation eased to 2.7% in October 2026, well below many euro-area peers.

Luxembourg's main structural challenge is sustaining growth in a small, finance-led economy while diversifying and keeping costs competitive. GDP grew by 0.6% in 2025, and output rose 1.3% year-on-year in the second quarter of 2026 despite a quarterly dip as investment and financial services slowed. High housing costs and reliance on cross-border workers add pressure, and defence spending is rising towards 2.3% of national income by 2029. The government's answer is a pro-business agenda: lower corporate taxes, record investment in infrastructure and housing, and support for new sectors such as space, data, health technology and sustainable finance. With low debt, a strong fund and banking base and the European Investment Bank on its doorstep, Luxembourg offers a secure platform for financial and technology investors.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Dependence on financial services	The economy and tax base rely heavily on funds and banking, which are sensitive to market cycles	Fund assets of €6.44 trillion and diversification into space, data and health technology broaden the base
Slow growth	GDP grew 0.6% in 2025 and fell 0.9% quarter-on-quarter in the second quarter of 2026	Record public investment and tax cuts support recovery; plan for a cyclical rather than structural slowdown
High housing and office costs	Property prices and rents raise relocation and staffing costs	Tax incentives for rental housing and sites outside the capital help; budget for relocation packages
Labour supply	Many employees commute from France, Belgium and Germany, and specialist skills are in demand	A multilingual cross-border talent pool is a strength; consider flexible and remote-work arrangements
Corporate tax changes	Pillar Two minimum taxation and evolving EU rules require careful structuring	Falling headline rates and investment credits improve competitiveness; take local tax advice
Regulatory and substance requirements	CSSF licensing and EU rules require real local presence and governance	A predictable, well-resourced regulator and established service providers make compliance manageable

INVESTOR RISK NOTE

Luxembourg's risk profile is among the lowest in Europe: a stable parliamentary monarchy and EU founding member with public debt of about 29% of GDP, a long record of policy continuity and a deep financial sector. The main considerations are economic rather than political: slow growth, with GDP up 0.6% in 2025, dependence on financial services and high housing costs. These are being addressed through tax cuts, record public investment of €4.5 billion in 2027 and support for new sectors. The CSV–DP coalition led by Prime Minister Luc Frieden has a clear pro-business agenda, and defence spending is rising steadily within NATO commitments. Inflation of 2.7% in October 2026 and an ECB deposit rate of 2.50% are moderate. There are no sanctions or legal restrictions specific to Luxembourg beyond those applying across the EU, which financial firms must observe in their client and fund operations.

MARKET ACCESS

As a founding member of the EU, Luxembourg gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with

third countries. Its financial regulator's authorisations carry EU passporting rights, allowing funds and financial firms based in Luxembourg to serve investors across Europe and beyond. Luxembourg is also part of the Benelux economic union with Belgium and the Netherlands and sits at the heart of the Schengen area, bordering France, Belgium and Germany. Findel airport is one of Europe's leading air-cargo hubs, and rail and road links connect the country with the ports of Antwerp and Rotterdam and with the wider European market.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Ministry of State (Prime Minister Luc Frieden)	Leads the CSV–DP coalition government and sets national economic and financial-centre strategy	Primary reference point for strategic investment and policy
Ministry of the Economy and Luxinnovation	Lead investment-promotion and innovation bodies; handle R&D grants, business parks and investor support	Standard first point of contact for non-financial investment
Banque centrale du Luxembourg (BCL)	Member of the Eurosystem whose governor sits on the ECB Governing Council; oversees liquidity and payment systems	Relevant for banking and payments matters
Commission de Surveillance du Secteur Financier (CSSF)	Supervises funds, management companies, non-bank financial firms and banks with the ECB	Key counterpart for financial-services authorisation
Ministry of Finance (Minister Gilles Roth)	Leads tax policy and the 2027 budget, including the proposed cut in corporate income tax	Counterpart on tax and fiscal matters
Luxembourg for Finance	Development agency for the financial centre, promoting it to international investors	Useful for financial-sector market entry and events
Luxembourg Space Agency	Develops the national space sector and administers the space-resources framework	Counterpart for space and satellite investors

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Luxembourg Chamber of Commerce, the Luxembourg Business Federation (FEDIL), the Luxembourg Bankers' Association (ABBL) and the Association of the Luxembourg Fund Industry (ALFI) are the main business networks, with regular dialogue with government on tax, regulation and skills. The American Chamber of Commerce in Luxembourg and the British Chamber of Commerce for Luxembourg support international firms. Luxembourg for Finance and Luxinnovation run trade missions and investor events, and the European Investment Bank, headquartered in Luxembourg, is a major lender for infrastructure, innovation and climate projects across Europe. Embassies of major partners provide further introductions.

INVESTOR PROFILE BEST SUITED

Luxembourg suits investors seeking a stable, low-debt and highly international base at the centre of the EU: asset managers, private-equity and fund sponsors using Europe's largest fund centre and EU passporting; banks, insurers and payment firms serving the euro area; fintech, data and technology companies; space and satellite businesses using the national space framework; and research-led firms in health technology and materials around Belval. Industrial and logistics investors can also use state business parks and the Findel and Bettembourg hubs.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Ministry of the Economy and Luxinnovation
Discuss site options, R&D grants and investment aid, or approach Luxembourg for Finance for financial-centre projects.

STEP 2: Plan the regulatory route
Map CSSF or ECB authorisation needs, substance requirements and EU passporting for funds, banking or payments activity.

STEP 3: Model the tax position
Take advice on the 16% rate, the proposed cut to 15% from 2027, investment tax credits and Pillar Two rules.

STEP 4: Secure talent and premises
Plan recruitment from the cross-border labour pool and budget for housing and office costs in Luxembourg City.

STEP 5: Track the 2027 budget and public investment
Follow the passage of the 2027 budget and identify opportunities in record public investment in infrastructure and housing.